

World in Brief: Iran's warning to Israel; SpaceX's value jumps



Photograph: NurPhoto via Getty Images

Iran's foreign minister said [the war](#) with **America** would not “fully come to an end” until **Israel** withdraws its troops from southern **Lebanon**, where it has been fighting Hizbullah, an Iran-backed militia. Iran's armed forces threatened a “hard response” if Israeli strikes on Lebanon continued. Despite that, Iranian oil-tankers passed through the Strait of Hormuz for the first time in two months, according to TankerTrackers, a ship-monitoring website.

SpaceX became the world's fifth-most valuable company, passing Amazon (and briefly Microsoft) during its third day of trading since a [record initial public offering](#). The rocketry and artificial-intelligence firm reached a valuation of almost \$3trn before falling to \$2.7trn by market's close. Separately, SpaceX will pay \$60bn for Anysphere, which makes Cursor, a popular tool for writing code using AI.

Volodymyr Zelensky, **Ukraine's** president, met Donald Trump at the G7 summit in France. The American president later said that “Russia should make a deal”. France's president, Emmanuel Macron, was overheard telling Mr Zelensky that his discussion with Mr Trump regarding Ukraine had been “difficult”. European leaders have urged America's president to host [peace talks](#). Earlier G7 heads agreed to tighten Russian-energy sanctions.

The FBI said it thwarted an **attack** on the **White House** during Mr Trump's 80th birthday celebrations. The agency said that anti-government conspiracy theorists planned a drone attack on an [Ultimate Fighting Club cage fight](#) taking place on the lawn. They then intended to shoot attendees as they fled. J.D. Vance, the vice-president, suggested the plot was not close to "the point of execution". Five people were arrested.

General Motors, a carmaker, and **Lockheed Martin**, an arms firm, announced a partnership to boost weapons manufacturing in America. [The Pentagon](#) facilitated the deal, they said. Lockheed will invest \$9bn on modernising facilities over four years. GM plans to spend \$7bn on research and development.

Snap, the parent of Snapchat, a social-media platform, started taking pre-orders for its \$2,195-a-pair [augmented-reality glasses](#). The gadgets superimpose computer imagery onto the real world and could be used for getting directions or consulting AI tools without screens. Competitors including Apple and Meta are racing to perfect wearable devices that might one day [supplant the smartphone](#).

Lionel Messi scored a hat-trick in Argentina's 3-0 victory over Algeria. He has now scored 16 [World Cup](#) goals, the joint most. Meanwhile Kylian Mbappé scored twice in France's 3-1 win against Senegal. He trails the 38-year-old Argentine by only two goals. Mr Messi broke another record on Tuesday: he is the first person to play in international football's top competition six times.

Figure of the day: 30,000. The annual migration to Shaoxing from elsewhere in China. [Read](#) about the draws to China's most "liveable" city.

Kevin Warsh's first test at the Fed



Photograph: Getty Images

Kevin Warsh remains something of a mystery. For most of his career, America's new Federal Reserve chair was a monetary hawk. During his confirmation hearing he argued that "inflation is a choice" for which central bankers must take responsibility. Yet to secure a nomination from Donald Trump, he softened his stance and [made the case](#) for lower rates. He has suggested that a productivity boom driven by artificial intelligence would vanquish inflation, allowing for looser policy. Many of his colleagues have questioned this unconventional argument.

Markets will get their first real glimpse of Mr Warsh on Wednesday, when he holds a press conference after his first policy meeting as chair. Interest rates are expected to remain unchanged. More revealing will be his rhetoric. Core inflation remains elevated and the labour market resilient, pushing many Fed officials towards a more hawkish stance. Investors will be listening for which version of Mr Warsh has come to work: the one that follows the hardliners—or continues to make the dovish case.

America's next trade tussle



Photograph: Reuters

Although Canada, Mexico and the United States have come together to host the World Cup, their trade negotiators are [preparing for a scrap](#). In Washington on Wednesday Mexican and American delegations will hold a second day of talks on extending their trade deal. Donald Trump signed it during his first term, and it runs until 2036. So why now? Under the terms, the three countries have until July 1st to extend it for another 16 years. If they miss that deadline, the deal will be subject to annual reviews. Mr Trump has said he will not agree to a renewal.

Wednesday's discussions are an opportunity for the parties to adjust the terms. America and Mexico discussed rules of origin for industrial goods in May; this round will focus more on agriculture. (Canada, for now, has received less attention.) Mr Trump is trying to extract concessions on security as well as trade. A simple resolution is unlikely.

The scandals of Spain's Socialists



Photograph: Alamy

On Wednesday a judge will quiz José Luis Rodríguez Zapatero, a former prime minister of Spain, about suspected influence peddling. The case centres around a €53m (\$62m) bail-out by Pedro Sánchez's government of a small Venezuelan-Spanish airline during the pandemic. Mr Zapatero, an ally of Mr Sánchez, will deny allegations that he was bribed to arrange the otherwise hard-to-justify deal.

It is **not the only scandal** in the prime minister's circle. Two former aides have separately been charged with corruption, and his wife may also face trial for influence-peddling. Another judge is looking at the activities of a former party member accused of having tried to quash some of these probes. All involved deny wrongdoing; some ministers complain of a witch-hunt. Mr Sánchez would rather people talked about Spain's robust economic growth, or the Pope's endorsement of his welcoming immigration policy. Instead, he faces calls for a general election that polls suggest the right would win.

Can the Bank of England keep its cool?

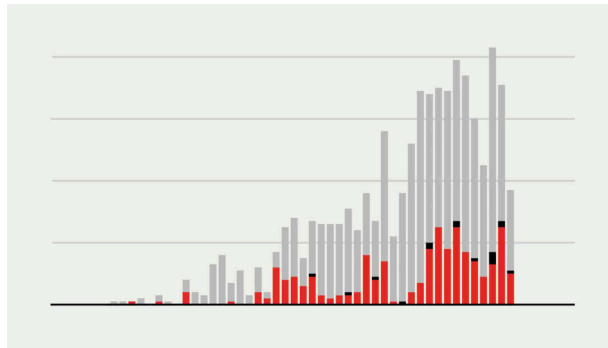


Photograph: Shutterstock

When the Bank of England sets interest rates this week it will have to make a tough call. Data released on Wednesday are expected to show that annual inflation rose to 3% in Britain in May, from 2.8% in April, because the war in Iran pushed up airfares and fuel prices. That will worry monetary hawks. Britons, they will fear, might demand higher pay in anticipation of rising costs: those polled by the bank expect inflation a year hence to be 4%, up from 3.2% when they were asked last quarter.

But there may be another way to look at Wednesday's inflation number. It will probably be lower than the bank's forecast of 3.3%. In addition, energy prices may continue to retreat as the [Strait of Hormuz reopens](#), and the labour market is getting weaker. When the bank publishes its decision on Thursday, this will probably prove to have persuaded the majority to vote to hold the benchmark interest rate steady at 3.75%.

Data bite: Ukraine's deep-strike campaign

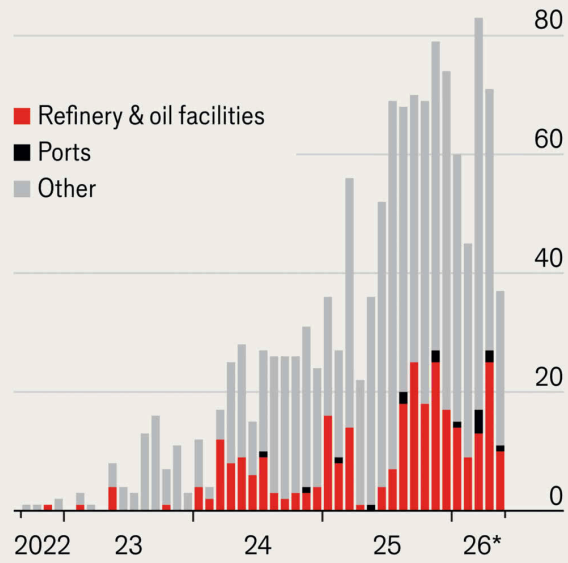


Photograph:

Ukraine's campaign of long-range strikes inside Russia [is intensifying](#). In 2025 Ukrainian forces carried out nearly twice as many deep strikes—defined as attacks more than 100km from the border—as in the previous three years combined. The campaign is also reaching more of Russia's critical infrastructure. Last year over a third of strategic sites, including military facilities, airports and energy assets, lay within 5km of a reported strike, up from almost none in 2022. The strikes appear to be taking a toll. Russian oil-refinery output has fallen, fuel exports have been restricted and fossil-fuel revenues have lagged behind what oil prices alone would predict.

Hitting the hinterland

Ukrainian deep strikes in Russia, by target



Daily Quiz



Illustration: Sandra Navarro

We will serve you a new question each weekday. On Friday your challenge is to give us all five answers and tell us the theme. Email your responses (and your home city and country) by 1700 BST on Friday to [\[email protected\]](#). We'll pick three winners at random and crown them on Saturday.

Wednesday: Which rebellious song was Alice Cooper's greatest hit?

Tuesday: What title is given to the chief adviser to a ruler in the Game of Thrones series?

My work is a game, a very serious game.

M.C. Escher